

22STCV41036 22STCV41036

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TENTATIVE

RULING

DEPARTMENT

415

HEARING DATE

July

6, 2026

CASE NUMBER

22STCV41036B

MOTION

Motion

for Summary Adjudication

MOVING PARTIES

Plaintiffs

Carrie Miller and Wake Leroux

OPPOSING PARTY

Defendant
the HUSL Ltd.

BACKGROUND

Plaintiffs Carrie

Miller ("Miller") and Wake Leroux (collectively, "Plaintiffs") move for summary adjudication of various issues against Defendant the HUSL Ltd. ("Defendant"). Defendant opposes the motion.

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs." (Code Civ. Proc., § 437c, subd. (f)(1).)

Plaintiffs' Issue

No. 2 does not concern an affirmative defense, issue of duty, or a claim for punitive damages. As such, it is not a proper issue for summary adjudication. "There is little flexibility in the procedural imperatives of [Code of Civil Procedure section 437c], and the issues raised by a motion for summary judgment (or summary adjudication) are pure questions of law. As a result, section 437c is unforgiving; a failure to comply with any one of its myriad requirements is likely to be fatal to the offending party." (Brantley v. Pisaro (1996) 42 Cal.App.4th 1591, 1607.)

Accordingly, the
Court does not consider Issue No. 2.

LEGAL STANDARD – MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

"[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law[.] There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in

accordance with the applicable standard of proof.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) “[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.” (Ibid.)

When the plaintiff seeks summary adjudication, the plaintiff bears the burden to produce admissible evidence on each element of every cause of action at issue. (Code Civ. Proc., § 437c, subd. (p)(1).)

EVIDENCE

The Court declines to rule on the evidentiary objections, as the Court did not rely on the evidence objected to in its ruling. (Code Civ. Proc., § 437c, subd. (q).)

DISCUSSION

Eighth Cause of
Action: Breach of Contract

In the operative complaint, Plaintiffs allege Defendant agreed to pay Miller with 250,000 tokens in exchange for Miller’s acceptance of employment with Defendant and Defendants, thereafter, terminated Miller’s employment without providing him with the 250,000 tokens. (Complaint, ¶¶ 105-107.) The pleadings set the outer limits of materiality in a summary judgment proceeding. (FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 382.) While Plaintiffs seek summary adjudication of Defendant’s contractual duties with respect to other aspects of compensation agreements with Miller, the Court cannot grant this relief, as Plaintiffs do not allege breaches of those aspects of the agreements as part of the eighth cause of action in the operative complaint. The Court, therefore, considers only subpart (i) of Issue No. 1.

In this regard, Plaintiffs

seek summary adjudication of Defendant's contractual duty. In their separate statement in support of their motion, Plaintiffs must identify "each supporting material fact claimed to be without dispute with respect to" each issue. (Cal. Rules of Court, rule 3.1350(b), (d).) In their separate statement, Plaintiffs cite Miller's deposition testimony whereat Miller testified Defendant agreed to compensate Miller with 250,000 tokens for working as Defendant's vice president of logistics.

(Declaration of Carrie Miller, Exhibit A, p. 125.) Plaintiffs also advance Miller's declaration, in which Miller states Defendant provided Miller with 136,386 tokens, rather than the promised 250,000 tokens.

(Miller Decl., ¶ L.) This evidence meets Plaintiffs' burden to show Defendant had a contractual duty to provide Miller with 250,000 tokens, which Defendant breached. Therefore, Plaintiffs have shifted the burden to Defendant to raise triable issues of material fact as to whether Defendant owed a contractual duty, which Defendant breached.

In opposition, Defendant presents evidence to the effect it never entered into a written compensation agreement with Miller. (Declaration of Matthew Schellhas, ¶ 6.) That is immaterial. Evidence that Miller and Defendant did not enter into a written agreement is not evidence no agreement was reached between them. Defendant advances no evidence it provided Miller with the tokens it agreed to provide. (See Separate Statement in Opposition to Motion for Summary Adjudication, p. 14.) Accordingly, Defendant fails to raise triable issues of material fact as to whether Defendant had contractual duties which Defendant breached. The motion for summary adjudication of subpart (i) of Issue No. 1 is granted.

Plaintiffs fail to meet their burden to summarily adjudicate the entirety of the eighth cause of action. Because damages are an element of a cause of action for breach of contract, Plaintiffs cannot obtain summary adjudication on a cause of action for breach of contract without proving the damages to which Plaintiffs are entitled. (Paramount Petroleum Corp. v. Superior Court (2014) 227 Cal.App.4th 226, 241.) Plaintiffs have not presented any evidence which establish Plaintiffs are entitled to a specific sum of damages. Instead, Plaintiffs approximate their damages and seek to leave the issue of the precise amount of damages for later. (See, e.g., Motion for Summary Adjudication, p. 11; Miller Decl., ¶ L.) This is

improper.

Accordingly, the motion for summary adjudication of the eighth cause of action is denied.

Eleventh Cause of Action: Fraud

Plaintiffs'

eleventh cause of action is for fraud. "The elements of fraud, which give rise to the tort action for deceit, are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another's reliance on the misrepresentation, (4) justifiable reliance, and (5) resulting damage." (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1255.)

As set forth

above, because damages are an element of a cause of action for fraud, Plaintiffs cannot obtain summary adjudication on a cause of action for fraud without proving the damages to which they are entitled.

As discussed above, Plaintiffs have presented no evidence which show they are entitled to a specific sum of damages.

(See, e.g., Motion for Summary Adjudication, p. 12.) Therefore, the motion for summary adjudication as to this cause of action is deficient for the same reason.

Accordingly, the motion for summary adjudication of the eleventh cause of action is denied.

Sixteenth Cause of Action: Negligence

As

set forth above, because damages are an element of a cause of action for negligence, Plaintiffs cannot obtain summary adjudication of the cause of action for negligence without proving the damages to which Plaintiffs are entitled. Plaintiffs cannot approximate their damages and leave the issue of precise damages for later. (See, e.g., Motion for Summary Adjudication, p. 13.)

Therefore, the motion for summary adjudication of the sixteenth cause of action is denied.

CONCLUSION AND ORDER

Defendant fails to raise triable issues of material fact as to whether Plaintiff is entitled to summary adjudication of subpart (i) of Issue No. 1. Accordingly, the motion for summary adjudication of subpart (i) of Issue No. 1 is granted. The motion is otherwise denied.

Plaintiff is ordered to give notice of the Court's ruling and to file proof of service of same.